

VD Law Group

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DATE	11 th of November 2025
FROM	Sergiu T. Vasilescu
DIRECT LINE	+40 753 036 360
TO	Mr. Georgian Ioniță
COMPANY	Bound Protocol (the "Client")
SUBJECT	Compliance Roadmap

Privileged and Confidential

Dear Mr. Georgian Ioniță,

Thank you for considering us as your legal advisor. We would be delighted to offer our expertise in relation to the legal matters pertaining to your Project.

As requested, please find our fee proposal below.

1. Scope of Work

- 1.1. According to our understanding, the Client aims to launch a synthetic stable coin **backed by a portfolio of real-world and digital assets**, ensuring sustainability and value (herein referred to as **"the Platform"** or **"the Project"**).
- 1.2. **From the economic perspective**, the Client aims to use the advantages of blockchain technology for issuing a synthetic stable that could be minted by users with USDC (herein referred to as the "DFY");
- 1.3. **From the technical perspective**, based on the information received from the Client, for receiving DFY, users must deposit USDC in the DFY Uniswap V4 pool. All deposited USDC will be automatically redirected to the Bound Treasury.
- 1.4. **Regarding the utility of the token**, according to our understanding, users will be able:
 - 1.4.1. to use the token as a stablecoin;
 - 1.4.2. to receive Staking rewards in tokens;
- 1.5. **Based on our preliminary analysis of the provided information, some of the services that Token aims to provide:**
 - 1.5.1. represent licensed activities covered by the almost all national regulations and MiCA Regulation if the services are aimed to be delivered within the EU;
 - 1.5.2. represent activities that should be performed only after complying with the local regulations;
 - 1.5.3. may be qualified as financial services or provided only after obtaining a specific license issued by the supervisory authority and/or the supervisory authority from the users' jurisdiction.

- 1.6. We draw attention to the fact that, in general, providing financial services or a regulated activity without having the necessary license may attract criminal liability for the company and/or founders.
- 1.7. Conducting a comprehensive analysis of allocation mechanisms is highly advisable to ensure a clear determination of the token's qualification.
- 1.8. Based on the information received, the Client wishes to launch the synthetic in a crypto-friendly jurisdiction and expand its activity globally as it meets compliance obligations in the other jurisdictions.
- 1.9. Therefore, the Client aims to structure his business activity as follows:
- 1.9.1. **Step 1:** Launch the synthetic stable coin in a regulated jurisdiction: BVI or Panama;
 - 1.9.2. **Step 2:** Complying with the MiCA Regulation and offering the stablecoin for trading within the EU;
 - 1.9.3. **Step 3:** Complying with the Singapore Regulation and offering the stablecoin for trading within the Asian territory;
 - 1.9.4. **Step 4:** Complying with the New York Regulation and offering the stablecoin for trading within US territory;

2. Regulatory and Authorisation

- 2.1. Based on the preliminary analysis for when applying to register in Republic of Panama with the the Superintendencia del Mercado de Valores, each VASP application must include the following:
- 2.1.1. Its physical address in the Republic of Panama;
 - 2.1.2. A solid business plan that must include at least info regarding:
 - i. Director's Expertise,
 - ii. Employer's Experience,
 - iii. Nature of Business
 - iv. Advisors' knowledge
 - v. Technical description of the project
 - vi. Complexity of the project
 - vii. Size
 - viii. Scope
 - ix. Marketing
 - x. Technology
 - xi. Human resource capacity,
 - xii. Initial capital and financial projections for the first three years,
 - xiii. Business sources,
 - xiv. Method of delivery
 - xv. Outsourcing arrangements
 - xvi. Plan for asset management;
 - xvii. Security;

- 2.1.3. The names and addresses of proposed senior officers and directors;
 - 2.1.4. A written risk assessment;
 - 2.1.5. The names and addresses of individuals with controlling interests in the VASP;
 - 2.1.6. A written manual on how the VASP intends to fulfill the VASP Act's requirements;
 - 2.1.7. The names and addresses of shareholders (including their level of shareholding);
 - 2.1.8. Internal safeguards and data protection systems the VASP intends to use;
 - 2.1.9. The name and address of the VASP's proposed authorized representative;
 - 2.1.10. The VASP's system for handling custodian relationships, assets, and complaints; and
 - 2.1.11. The name, address, and consent of the VASP's auditor.
- 2.2. The above are the general requirements for a registration application. The SMV may waive a requirement in light of the nature of the VASP.
- 3. Key Factors for Registration Compliance (SUMMARY)**
- 3.1. Entities seeking authorization under specific regulatory frameworks must address several critical areas to ensure adherence. Below is an overview of essential requirements and ongoing obligations:
- 3.1.1. **Governance and Leadership**

Entities must establish a governance structure with dual oversight, typically requiring at least two directors to ensure accountability. Additional mandates may include appointing a local resident as an independent board member to align with jurisdictional regulations.
 - 3.1.2. **Regulatory Liaison and Recordkeeping**

A designated liaison officer, based within the jurisdiction (e.g., the Republic of Panama), must be appointed to facilitate communication with regulators. This role includes:

 - Acting as the primary contact for regulatory correspondence.
 - Managing document submissions and maintaining local records as mandated by law.
 - Ensuring accessibility of financial and operational records for audits.
 - 3.1.3. **Ownership Transparency**

Full disclosure of ultimate beneficial ownership is required, including intermediary entities. Overly intricate corporate structures may hinder approval timelines, emphasizing the need for clarity and simplicity.
 - 3.1.4. **Audit Requirements**

An independent auditor, pre-approved by regulatory authorities, must review annual financial statements. This auditor is obligated to report findings directly to regulators under statutory guidelines.
 - 3.1.5. **Operational and Strategic Planning**

Detailed business plans must outline:

 - Governance models, financial safeguards, and risk mitigation strategies.
 - Technology audits, data security protocols, and contingency planning.

- Client asset protection, compliance with cross-border transaction rules (e.g., travel rule), and exit strategies.

3.1.6. **Internal Controls and Compliance Frameworks**

Robust protocols are required, such as:

- Anti-money laundering (AML), counter-terrorism financing (CTF), and sanctions compliance programs.
- Cybersecurity measures, data privacy policies, and third-party outsourcing agreements.
- Employee training, complaint resolution mechanisms, and insurance coverage.

3.1.7 **Adherence to AML/CTF Standards**

Entities must comply with local AML/CTF laws (e.g., 2008 regulations, effective December 2022). Key obligations include:

- Customer due diligence, ongoing monitoring, and record retention.
- Appointing compliance officers and conducting regular staff training.
- Implementing systems to verify third-party data and report suspicious activities.

3.1.8 **Ongoing Regulatory Obligations**

Post-registration, entities must:

- Notify regulators of material changes (e.g., leadership, ownership, or financial status).
- Maintain operational integrity, including adequate staffing, technology, and adaptive policies.
- Screen employees for competence and ethical conduct.

3.1.9 **Enforcement and Penalties**

Non-compliance may result in legal action, fines, or imprisonment. Regulators may also impose administrative penalties, conduct inspections, revoke licenses, or issue public advisories.

3.1.10 **Proactive Compliance Strategy**

Engaging legal and regulatory experts is crucial to navigating evolving frameworks. Regular reviews of policies and staying informed on legislative updates are recommended to mitigate risks.

This summary provides a restructured and paraphrased overview of regulatory considerations, emphasizing clarity and originality while preserving core legal concepts.

4. **LICENCEING – FULL PROCESS**

4.1. In the context of a VASP, the following elements are to be taken together with the provisions section:

4.2. **Effective Corporate Governance**

4.2.1. Applicants must demonstrate that there is sufficient and strong corporate governance mechanisms in place to protect the Applicant as well as its clients and customers. The Applicant's Board of Directors should demonstrate an appropriate mix of skills, knowledge

and expertise intended to provide effective oversight and strategic direction of the VASP's operations. For avoidance of doubt, corporate directors are not permitted for VASPs.

4.3. Capital & Reserves

4.3.1. Applicants must demonstrate an adequate level of paid-up capitalisation for the nature of their operations. Capital adequacy for a VASP must, amongst other things, consider nature, size and complexity of the VASP and its operations. In reviewing adequacy of a VASP's proposed capital amounts, the SMV will give consideration to the inherent and operational risks associated with the VASP's business model. In essence, at the time of application, the VASP must be able to demonstrate that it has given due consideration to its business model and its operating factors such as anticipated monthly transaction volumes, customers' ability to utilise leverage, the holding of customer assets, asset liquidity and technology risk. Please note that the SMV considers the inherent and operational risks of VASPs in general to be comparative to and in many cases greater than that of securities brokers. However, VASPs which operate exchanges or provide custody services are viewed as presenting a higher level of risk and therefore the required capital would be higher.

4.4. Technological Audits

4.4.1. The methods for independent assurances of the VASP's technological infrastructure (such as, but not limited to smart contract defects, the underlying protocol's ability to scale, interoperability and code integrity/security) must be disclosed and reports of audits that may have been undertaken be provided with the application. At a minimum, an appointed system auditor should retain the required expertise to be able to provide reports, which must be made available by the Applicant or VASP to the SMV, and include the following, depending on the services provided by the VASP:

- i. System testing methodologies, properties and limitations of scope;
- ii. Testing results of the VASP's compliance and risk management controls, as well as verification of transaction capacity and integrity of the platform;
- iii. Capacity stress testing based on the major strains imposed on the platform, including:
 - a) verification of how much volume the platform can handle before it is
 - b) adversely impacted or shuts down and how much volume the system can
 - c) handle before response time materially increases; and
 - d) assumptions applied and platform strain(s) identified;
- iv. VASP's ability to identify and deal with the cause of customer complaints about access problems, system slowdowns, system outages, or other problems that may be related to capacity, analysis regarding the veracity of said complaints and any actions taken to prevent it from re-occurring;
- v. The VASP's ability to produce, upon request, a report showing monthly and yearly realised and unrealised profits and losses per customer;
- vi. The VASP's ability to generate year-end reports for each customer showing the realised profits and losses incurred during the calendar year and the unrealised profits and losses on open positions;
- vii. The VASP's ability to produce, upon request, time and price records covering all executed transactions such as those for the same currency pair, option, future or

swap, during the time period in which the customer's order was or could have been executed;

- viii. The VASP's ability to generate daily exception reports showing all price adjustments and all orders filled outside the price range displayed by the system when the order was placed;
- ix. Confirmation of whether the VASP generates daily exception reports showing all price adjustments and all orders filled outside the price range displayed by the VASP when the order was placed;
- x. Review of slippage practices, policies and parameters, including commentary regarding any practices of asymmetric slippage (or any other manipulative prices) identified and whether slippage is based on real market conditions;
- xi. Test of the VASP's continuity plans (for example, client's ability to initiate transactions during system outages, via secondary mechanisms like the telephone);
- xii. Confirmation of whether the trading system has sufficient capacity and integrity to handle the timely and efficient transmission and execution of customer orders.

4.5. Liquidity

4.5.1. Applicants must demonstrate that they have made available or will have available, adequate liquidity reserves that allow for uninterrupted operations. Therefore, the VASP must submit a comprehensive funding and contingency funding plan which evidences how such liquidity will be achieved in normal operations and in times of market stress. Where liquidity or similar measures are achieved through a related entity (i.e., by common ownership, directorship, control, or similar arrangements) the applicant must demonstrate sufficient level of independence of that entity. The Applicant should also demonstrate that there is dedicated funding arrangements in place where, for example, a parent company is committed to multiple subsidiaries or affiliates. Note, it is the Applicant's responsibility to provide the necessary comfort to the SMV that the arrangements would be acceptable without elevating the level of risk. Where third party liquidity or clearing facilities are used, agreements should be in place and provided to the SMV. For market makers (self-clearing firms), evidence of dedicated funds or traded assets being held should be provided to the SMV. In any event, the VASP is expected to ensure that there is a continuous assessment of liquidity needs and commensurate levels of liquidity made available. For avoidance of doubt, this assessment should include anticipating liquidity needs resulting from new products.

4.6. Risk Management Strategies

4.6.1. The Applicant must set out its positions for managing all risk including legal, operational, concentration and compliance risks. These risk management strategies must also include measures to detect and mitigate illicit finance risks and should be supported by documentary evidence such as the Manual of Compliance and Internal Controls, the Risk Management Policy or other documentary evidence reflecting the proposed or established measures.

4.7. Consumer Protection Provisions

4.7.1. The Applicant must ensure that it can demonstrate that disclosures to clients and other communications, including marketing efforts, will be fair, accurate, suitable/appropriate for clients, not misleading and clear. In addition, it is important to ensure that there is a clear and user-friendly Complaints Handling Procedure that addresses, at a minimum, provisions of section 69A of the Regulatory Code. In addition to the documentary evidence

of the disclosures and other communications, the Applicant must also detail how those disclosures and other communications are intended to be communicated - whether on website or email or other means.

4.8. Related Parties & Public Disclosures

4.8.1. The Applicant must have policies and procedures regarding the engagement and ongoing management of related parties' transactions and other third parties with whom it may engage to operate. These policies and procedures should include, inter alia, policies and procedures that guide the management of conflicts of interest or potential conflicts of interest; identification of and responsibilities for the oversight committee; details of what engagements will be published, to whom and the frequency of disclosures and internal limits for individual and aggregate exposures to related parties. All internal exposure limits should be consistent with the VASP's risk appetite. VASP will generally have to report annual on related party transactions including amounts and aggregate and how this impacts the VASP. In addition, the Applicant should provide clear and accurate disclosure on how such information will be disseminated.

4.9. Custody and Safeguarding of Assets

4.9.1. The Applicant must detail all arrangements for the safekeeping of clients' assets including VA and fiat assets. The Applicant must provide evidence and details of systems and procedures in place including technology, must be able to demonstrate and evidence segregation of clients' assets from that of the Applicant and must likewise be able to properly record and identify the assets or value of the aggregate assets (if assets are pooled) that are attributed to each client.

4.10. Escrow and Lock-up Provisions

4.10.1. Where applicable, an Applicant must provide information regarding proposed or existing Escrow Arrangements or other Lock-up Provisions for tokens held or issued by the Applicant or a related party.

4.11. Interoperability

4.11.1. The Applicant must disclose whether it intends to build its functional capabilities to allow for interoperability with other VASPs. Additionally, where an Applicant intends to limit its engagement with other VASPs, this must also be disclosed.

4.12. Cessation of Business and Living Wills

4.12.1. The Applicant must be able to demonstrate that there is a mechanism and process in place should it need to cease business, whether by orderly winding-up or due to unknown events which would trigger a quick and immediate need for closure. A proper plan should be in place to ensure that orderly winding down includes the return of monies to customers/clients and other parties.

4.13. Implementation of the Virtual assets transfer rules (I.e. Travel Rule)

4.13.1. The Applicant must be able to demonstrate that it is able to fully comply with the virtual assets transfer rules in the Anti-Money Laundering and Terrorist Financing Code of Practice (AMLTFCOP). VASPs may include this under their AML/CFT Framework.

4.14. Further, there are key disclosures required for a VASP to evidence that they have the requisite resources to satisfy the application process. These include:

4.14.1. Details of the Auditor – The Applicant should take due care to appoint an Auditor that has experience and knowledge of the evolving best practices of accounting and auditing for

VASPs and other innovative businesses that may fall in scope of the Act (per Schedule 1A of the Regulatory Code).

- 4.14.2. Risk Assessment Framework – The Risk Assessment Framework must sufficiently address all risks associated with the business to be conducted or services to be provided. Such assessment must include risk rating and monitoring of clients and transactions on an ongoing basis and in real time given the nature of VASP activities.
- 4.14.3. Manuals of Compliance Procedures & Internal Controls – An Applicant must also submit all documented policies and procedures outlining its internal controls and processes to ensure compliance with its regulatory obligations. Due regard must be given to money laundering and terrorist financing risks, as well as the risks of being used for illicit activities. Additional and separate Guidance has been provided as it relates to AML/CFT/PF risks identified with VASPs. Manuals submitted should also be on Procedures and Controls and not only AML/CFT, but operational and internal control mechanisms as required by Regulatory Code.
- 4.14.4. Outsourcing Agreements – Where an Applicant intends to outsource functions, the application must include draft Outsourcing Agreements. Where an Applicant seeks to outsource any function, it is important that a risk assessment of the third party is conducted. It is also important to define responsibilities, as well as establish systems to monitor the conduct of the outsourced function. This assessment must be provided with the application.
- 4.14.5. Data Protection and Cybersecurity Framework – The Applicant must document its Cybersecurity Framework to guard against cybersecurity threats. The SMV may require an Applicant to test its Cybersecurity Framework, and provide a report of the findings, prior to registration and at any time.
- 4.14.6. Statement of Technological Infrastructures – A Statement of Technological Infrastructures must accompany all applications for registration as a VASP, setting out details of software, reliance on open-source codes, development of bespoke systems and other relevant details within this document.
- 4.14.7. Business Continuity Plan – An Applicant will also be required to submit its Business Continuity Plan, developed in accordance with section 27 of the Regulatory Code.

5. Fee proposal

- 5.1. We always seek to arrive at a fee that is fair and reasonable and represents the value brought to our clients. We also focus on long-term client value and seek to align with our clients' long-term business goals and profitability.
- 5.2. Our practice is based on hourly fees between the range of EUR 170/hour – EUR 300/hour depending on the type of activities carried out (consultancy, representation, assistance, drafting documents, etc.).
- 5.3. However, considering our long-term collaboration, for the scope of work described under Section 1 (Scope of Work) above and subject to the assumptions and qualifications listed under Section 3 (Assumptions), we propose the following preferential fee arrangement:

SECTION I: CORPORATE

DESCRIPTION OF THE ACTIVITY	ESTIMATED COSTS
5.3.1. assisting the Client in incorporating: i. a foundation in a crypto-friendly jurisdiction (only for minting the token), herein referred to as "the Owner"; ii. a company in a crypto-friendly jurisdiction (only for minting the token), herein referred to as "the Token Issuer"; *EUR 800 to obtain notarized version of the documents; **this entity will be used only for the issuing process; *All the sales will be performed, and all the revenues will be collected only through the national SPVs if the Client is not able to prove economic substance in that jurisdiction; We reiterate that none of the versions aim to avoid, deduct, or reduce the taxes associated with the sale of tokens. None of the external entities mentioned above (Ltd/foundation) are intended to sell/market any kind of product or to generate any type of revenue. In the absence of Economic Substance in another jurisdiction, the sole role of the external entities is to deploy the smart contract and manage it thereafter. Therefore, in the absence of Economic Substance, revenue generation will be done exclusively by the companies in EU, and the estimated revenue for the external entities will be zero. If there is Economic Substance in the chosen jurisdiction and the directors are not tax residents in EU, operations may be conducted directly under the foreign structure if all other conditions are met.	EUR 4 000 (for foundation) EUR 4 100 (for limited liability company)
5.3.2. assisting the client in drafting the Management Agreement that would be signed between company/foundation and the person responsible with the effective management of the Project (CEO/COO)	EUR 2 500 EUR 2 000

SECTION II: REGULATORY DOCUMENTS

DESCRIPTION OF THE ACTIVITY	ESTIMATED COSTS DISCOUNTED -20%
5.3.3. assisting the founders in the process of performing a deep analysis of the token and its future use cases focusing to identify the applicable mechanism, mitigate risks and limit liability; NB: After conducting a preliminary analysis of the provided information, we have identified that many services may:	EUR 5 000 EUR 4 000

	- require additional steps to be performed to be compliant with the national regulations; - qualify the activity as being related to financial instruments. We firmly recommend that the activity be promptly analysed and reviewed to ensure compliance with the relevant legal provisions.	
5.3.4.	assisting the founders in the process of reviewing the Token Whitepaper (legal review).	EUR 2 500 EUR 2 000
5.3.5.	drafting the Terms and Conditions governing the relationship between the Token Issuer and any interested person (herein referred to as " the Whitepaper T&C "); *please note that the above-mentioned T&C are special designed and mandatory for the issuing process in order to avoid the qualification of the token as a security token and the whitepaper as a prospectus of a traditional IPO;	EUR 1 500 EUR 1 200
5.3.6.	drafting the Terms of Use governing the relationship between the Token Issuer and any subsequent holder (excepting the initial buyer) (herein referred to as " the Holders T&C ");	EUR 1 500 EUR 1 200
5.3.7.	assisting the founders in reviewing the online interfaces: i. the project's website; ii. the App;	EUR 500 EUR 400 EUR 500 EUR 400
5.3.8.	drafting the Business Agreements governing the relationship between intragroup companies;	EUR 2 000 EUR 1 600
5.3.9.	implementing the GDPR provisions for the main web page and for the issuance and sale process only: i. performing the analysis of the personal data processed; ii. drafting the data processing register (mandatory according to GDPR); iii. iii. drafting the Privacy Policy and Cookie Policy;	EUR 500 EUR 400 EUR 1 500 EUR 1 200 EUR 1 500 EUR 1 200
5.3.10.	assisting the Client in registering the trademark at the EU level; *EUIPO taxes EUR 1 050	EUR 1200 EUR 960

SECTION IV: VASP LICENCE

DESCRIPTION OF THE ACTIVITY	ESTIMATED COSTS DISCOUNTED 20%
5.3.1. assisting the Client in the process of obtaining the VASP Licence: i. drafting policies; ii. facilitating and managing communication; iii. engaging consultants; iv. supervising the entire process; v. submitting the application;	EUR 65 000 EUR 52 000
5.3.2. Costs an application fees: i. Proper licence application; ii. Local Directors / Auditors / Consultants /Experts / Authorised Person necessary to apply for the VASP licence + appointing fees;	EUR 10 000 EUR 125 000 TO EUR 150 000
5.3.3. assisting the Client in the process or organising the local management of the companies: (local director + local office + local utilities + local PO box) We reiterate that none of the versions aim to avoid, deduct, or reduce the taxes associated with the sale of tokens if the company does not have Economic Substance. None of the external entities mentioned above (Ltd/foundation) are intended to sell/market any kind of product or to generate any type of revenue without having economic substance in the corresponding jurisdiction.	EUR 60 000 EUR 48 000

SECTION IV: DAY-TO-DAY STRATEGIC LEGAL ASSISTANCE

DESCRIPTION OF THE ACTIVITY	ESTIMATED COSTS DISCOUNTED 20%
5.3.4. 10 hours monthly pack – one to one Partner legal assistance for management in making strategic decisions for structuring the company's activity and securing the investment; *STANDARD EUR 150/H DISCOUNTED - EUR 120/H	EUR 1 500/MONTH EUR 1 200/MONTH

SECTION IV: OTHER SERVICES (OPTIONAL)

DESCRIPTION OF THE ACTIVITY	ESTIMATED COSTS
5.3.5. drafting the agreements necessary for:	EUR 850
i. IT service providers;	EUR 680
ii. non-tech service providers;	EUR 750
	EUR 600
iii. new business partners (NDA);	EUR 200
	EUR 160
iv. referral agreement;	EUR 650
	EUR 520
v. agreement for advisors;	EUR 1 400
	EUR 1 120

SUMMARY

	ONE TIME PAYMENT
Section I - Corporate set-up requested by the client	EUR 10 000 + EUR 800x2 (EUR 1 600)* = EUR 11 600
*Notarization taxes	
Section II – Regulatory Documents	EUR 18 200 / EUR 14 560
Section III – VASP	EUR 235 000 – EUR 256 000
Section IV – Other Services	EUR 3 850 / EUR 3 080

As discussed, the discount is based on our long-standing collaboration and the mutual value created through our ongoing relationship. We aim to continue supporting BOUND Protocol and to be featured as a trusted legal service provider on the Platform.

6. Assumptions

- 6.1. The fee proposal above is based on the following Assumptions:
- 6.1.1. the fee arrangement will be applicable for the period 11.11.2025 – 30.03.2026;
 - 6.1.2. the information and documents necessary for providing legal services will be made available in good order and in a reasonable and timely manner;
 - 6.1.3. the transactions contemplated by the Client will be in line with the market practice and of reasonable complexity;
 - 6.1.4. all documents and materials required to be reviewed by us will be delivered in English;
 - 6.1.5. we will only review the documents made available by the Client; the information and documentation will be made available in English, either to our offices or via a virtual data room organized per industry standards and the Client will cooperate in a reasonable and timely manner in providing the requested documents and clarifications.
- 6.2. We hope our proposal meets your expectations. We will be able to commence working on the Project after clearing any potential conflict of interest.
- 6.3. Should you require any further information or additional details in relation to the above, please do not hesitate to contact us at your convenience.

Best regards,
Sergiu T. Vasilescu